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Taboola.com Ltd. · 33 turns · 12 participants

CAST (IN ORDER OF APPEARANCE)

Operator

Operator

Adam Singolda

Founder and CEO

Barton Crockett

Analyst at Rosenblatt

James Copelman

Analyst at TD Cowen

Laura Martin

Analyst at Needham & Company

Navid Khan

Analyst at B. Riley Securities

Adam Anwar

Head of Investor Relations

Steve Walker

Chief Financial Officer

Brianna Diaz

Analyst at Citizens

Laura Martin

Analyst at Needham & Company

Moderator

Conference Moderator

Tyler DiMatteo

Analyst at BTIG

OPERATOR Operator

Good day, and thank you for standing by. Welcome to the Taboola Q1 2026 earnings call. At this time, all participants are in a listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during the session, you will need to press star one one on your telephone. You will then hear an automated message advising your hand is raised. To withdraw your question, please press star one one again. Please be advised that today's conference is being recorded. I would now like to hand the conference over to your first speaker today, Adam Anwar, Head of Investor Relations. Please go ahead.

ADAM ANWAR Head of Investor Relations

Thank you, and good morning, everyone, and welcome to Taboola's first quarter of 2026 earnings conference call. I'm here with Adam Singolda, Taboola's founder and CEO, and Steve Walker, Taboola's CFO. The company issued earnings materials today before the market, and they're available in the investor section of Taboola's website. Now I'll quickly cover the safe harbor. Certain statements today, including our expectations for future periods, are forward-looking statements. They are not facts and are subject to material risks and uncertainties described in our SEC filings. These statements are based on currently available information, and we undertake no duty to update them except as required by law. Today's discussion is also subject to forward-looking statement limitations in the earnings press release. Future events could differ materially and adversely from those anticipated. During this call, we will use terms defined in the earnings release and refer to non-GAAP financial measures. For definitions and reconciliations to GAAP, please refer to the non-GAAP tables in the earnings release posted on our website. With that, I'll turn the call over to Adam.

ADAM SINGOLDA Founder and CEO

Thanks, Adam. Good morning, everyone, and thank you for joining us today. We're starting the year off strong with our first quarter results exceeding the high end of our guidance across all metrics. We're seeing continued acceleration in our growth, which gives us the confidence to raise our full year guidance across the board. We now expect XTAC's gross profit growth of 8% while maintaining 30% adjusted EBITDA margin and strong free cash flow conver-

sions. As I said last year, we believe we've reached an inflection point with Realize driving advertiser success. I'm confident that this momentum gives us a clear path to double-digit growth over time. We're not there yet, but we're moving in the right direction and I'm proud of the team executing against it. In the first quarter, we repurchased approximately 7 million shares for a total of \$23.5 million, while continuing to invest in R&D to support our long-term growth ambition. Including this quarter, we've now bought 19% of Taboola between 2025 and near-to-date 2026, which we're very pleased with. We plan to continue allocating the majority of our free cash flow towards share repurchases, which we view as our most compelling capital allocation opportunity. Before getting into the details, let me remind you who we are and how we compete. Taboola is one of the largest performance advertising companies outside of search and social, referred to as the open web. Similar to how Google and Meta understand intent within their own platform, Taboola understands intent across billions of consumers who read, watch, and engage with trusted OEMs, apps, and publishers across the open web. We then convert these signals into profitable and measurable outcomes for advertisers. That proprietary intent data and the AI-driven conversion machine was built, that is Taboola. In a world where AI is evolving so quickly, I believe the winners will be those with either unique data that LLMs cannot get or access to unique supply and distribution. Taboola has both. To execute on our mission in 2026, we're focused on three priorities. First, investing in our technology to advance Realize. Second, with Krishan Bhatia joining as a chief business officer, further verticalizing our sales organization around our ideal customer profiles, where we're seeing stronger retention and spend growth over time. And third, strengthening our brand. As advertisers see stronger results and realize our ability to expand the budgets we manage continues to grow. In the first quarter, realized growth increases in both scaled advertisers, those who spend more than \$100,000 a year with us, and the budgets we manage. Scaled advertisers grew 3.5%, and average revenue per scaled advertiser grew 5%. As we scale, we benefit from more data, which powers our AI systems and drives continued performance improvements, reinforcing our ability to grow budgets over time. This progress comes from our investments we've been making across our technology, strengthening our user graph to better understand users across sites and devices, leveraging unique signals from taboola news, high intent content like product reviews, intent signals driven by a massive amount of people clicking on our ads, along with ongoing improvements to our bidding and core algorithms. Just a few weeks ago, we introduced Realize Plus, our agenting framework for advertisers, something the team has been building towards for a long time. Meta has Advantage Plus. Google has Performance Max. And now we have Realize Plus. The idea is simple. Advertisers who want greater control, such as setting budgets by strategy, defining goals by geo, and managing campaigns more hands-on can continue to use Realize. However, for those who prefer full automation that can simply provide a budget and objective, and Realize Plus will take care of the rest, including audience targeting, creative generation, placements, and continuous optimization. What matters here isn't just simplification, it's performance at scale. By reducing operational complexity and improving outcomes, Realize Plus reacts autonomously to the dynamic marketplace in real time, deciding and executing strategies which drive better performance outcomes. This allows advertisers to confidently shift more budgets into the system over time. That's how we grow. We want to make it really easy to use Realize and succeed. Our second priority is our go-to-market, where we're building a more repeatable engine to grow our share of advertisers' budget. The foundation of this strategy is verticalizing, organizing our sales team by industry and focusing on clearly defined ideal customer profile, what we call ICPs. For Taboola, these ICPs are performance-oriented advertisers who prioritize measurable outcomes. requires scalable customer acquisition and operate in mid to low funnel categories, such as travel, health-care, auto, personal finance, and more. By aligning our verticalized teams to these ICPs, we develop deeper expertise, execute faster, and stay focused on delivering advertisers' outcome. Lastly, on brand and perception, we're making real progress in how the market sees Taboola. As we invest in products like Realize Plus, onboarding incredible advertisers and partners, we're shaping our brand to be recognized as an AI-driven performance platform. This takes time, but we're building trust and shifting perception. In the end, I measure this by outcomes. Are we

bringing more advertisers, driving more demand, and growing faster or not? At the end of the day, companies either accelerate their growth or they don't. And to bring it all together, we feel good about where we are, and even more importantly, about where we're going. We're seeing early signs of what this business can become when technology, data, and execution come together. It's still early, but we're moving in the right direction. It's an exciting time for us at Taboola, and we look forward to updating you all on our progress throughout the year. With that, I'll hand it over to Steve.

STEVE WALKER Chief Financial Officer

Thanks, Adam, and good morning, everyone. We're happy to start the year on a strong note. In the first quarter, we continued to build on the momentum we built last year, delivering results that exceeded the high end of our guidance across every metric. In the first quarter, revenues grew 9% year over year to \$466.4 million. We remain focused on increasing advertiser investments through Realize, our performance advertising platform. Continued product enhancements and new feature launches contributed to solid execution during the quarter. This was evident in our first quarter scaled advertiser metrics, which showed a 3.5% rise in the number of scaled advertisers and a 5% increase in average revenue per scaled advertiser. XTAC gross profit increased 11% year-on-year to \$168.1 million in the first quarter. Growth was primarily driven by higher advertising spend, largely supported by the scaling of Realize, as well as strong performance from Taboola News and Bidded Supply. Growth profit for the quarter was \$129.6 million, up 9% year-over-year. Growth in XTAC growth profit contributed to this performance, but was partially offset by an increase in infrastructure and operational costs as we continue to scale the business for future growth. Net income for the quarter was \$59.1 million, with non-GAAP net income coming in at \$17.2 million. Net income came in higher due to proceeds from a one-time legal settlement. This settlement was adjusted out of non-GAAP net income. Adjusted EBITDA for the quarter was \$26.7 million, a margin of 16%. This reflects continued discipline in expense management while continuing to invest in strategic priorities to support long-term growth. And I would note that the legal settlement I mentioned previously does not contribute to adjusted EBITDA. Foreign exchange was a meaningful headwind in the quarter. On a constant currency basis, first quarter XTAC gross profit showed a tailwind of approximately \$3.6 million, while operating expenses saw a headwind of approximately \$8.2 million, primarily reflecting the strength of the Israeli shekel, where we have a significant employee and cost base. In aggregate, FX represented roughly a \$4.7 million headwind to the first quarter adjusted EBITDA. Excluding this impact, adjusted EBITDA would have been \$31.4 million, which would have represented an adjusted EBITDA margin of 19.1 percent. We expect FX to remain the headwind for the remainder of 2026. In terms of cash generation, we had \$108.7 million in operating cash flow in the first quarter and free cash flow of \$90.3 million. Free cash flow for the quarter benefited from the legal settlement I mentioned previously. As a reminder, we expect to sustainably convert free cash flow from adjusted EBITDA at a 60% to 70% rate over any typical four-quarter period. Turning to the balance sheet, we remain in a strong financial position. We ended the first quarter with a net cash balance of \$83.9 million. Cash and cash equivalents totaled \$150.3 million, which more than offset our long-term debt of \$66.4 million. Last year, we secured a \$270 million revolving credit facility, and as of March 31st, we maintained approximately \$203.6 million of available liquidity. We remain focused on disciplined capital allocation, prioritizing investments in sales and R&D while returning excess capital to shareholders through share repurchases. In the first quarter, we repurchased approximately 7 million shares at an average price of \$3.41 for a total consideration of \$23.5 million. As a result, shares outstanding declined to approximately \$273 million at quarter end, down from about \$276 million at the end of 2025. We have approximately \$160 million remaining under our authorization and continue to view share repurchases as a compelling use of the majority of our free cash flow. Moving to guidance, for the second quarter, we expect revenues to be between \$492 and \$505 million, gross profit to be between \$147 and \$152 million, XTAC gross profit to be \$189 to \$194 million, adjusted EBITDA to range from \$49 to \$55 million, and non-GAAP net income to be \$36 to \$43

million. Reflecting continued adoption of Realize and its features, we are raising our full-year guidance across all metrics. We now expect revenues to be between \$2 and \$2.06 billion, gross profit to be between \$610 and \$630 million, EXTAC gross profit to be \$760 to \$781 million, adjusted EBITDA to be \$222 to \$240 million, and non-GAAP net income to be \$167 to \$191 million. I would note that our adjusted EBITDA guidance reflects a forecasted headwind from foreign exchange rates of approximately \$13 million in operating expenses, partially offset by XTAC tailwinds. Without this headwind from foreign exchange, adjusted EBITDA margins would be approximately 34%. In summary, the first quarter results exceeded the high end of our guidance range across all metrics, reflecting strong execution and continued momentum in the business. We continue to build on the momentum we've seen with Realize and are focused on accelerating growth. We continue to stay disciplined in our approach and our steady progress reinforces our confidence in our ability to return to sustainable double-digit growth over time. With that, let's move to Q&A. Operator, can you please open the line for questions?

OPERATOR Operator

Thank you. At this time, we will conduct the question and answer session. As a reminder, to ask a question, you will need to press star 11 on your telephone and wait for your name to be announced. To withdraw your question, please press star 11 again. Please stand by while we compile the Q&A roster. Our first question comes from the line of Daniel Medina of Needham and Company. Your line is now open.

LAURA MARTIN Analyst at Needham & Company

Hi, can you hear me? It's Laura Martin. Do you guys hear me? Hello? Hello? Hello?

MODERATOR Conference Moderator

Laura, we hear you if you can hear us.

LAURA MARTIN Analyst at Needham & Company

Okay. Yeah, I just didn't know if you could hear me. Yeah, so I do too. One is on the scaled advertiser number, these numbers look great. Can you remind us, like, why you make this distinction between scaled advertisers and – like not and what is the turn level different with non-scaled advertisers or why do we make this distinction in scaled advertisers and then the other thing is um i think i saw it when we were talking last week um adam we were talking about your integration into quad and how you sort of think that the maybe these uh llms are becoming a new source of demand for taboola Could you go into how you're thinking about some of these agentic AI LLMs and whether you think that drives revenue growth for you in the future? Thank you.

ADAM SINGOLDA Founder and CEO

Yeah, good morning, Laura, and it was good seeing you last week at Possible in Miami. So with the first question is related to scaled advertisers, the reason we think that matters is As a performance advertising platform, people try Taboola and some of them obviously succeed and some of them need more work to succeed. But what happens when someone kind of exceeds the \$100,000 mark, they tend to be very stable line of revenue for us. It means they've they've tested enough, they tried enough of our capabilities to feel good about the performance that they were hoping to get. And at that point, for us, that kind of becomes more sustainable, predictable amount of revenue, and we can grow that base over time. So I think, you know, for investors, we think that's an important metric because it's a good proxy for, one, how are we doing as a technology platform? Are we able to grow that number? Are we able to get more and more clients to be happy with what they're seeing as they compare to Meta and Google. And two, that revenue is fairly predictable as it relates to churn rates and things like that like you mentioned. So we think that's a good metric to track. Internally, there are leading indicators that get advertisers to that stage. So usually we lower

churn rates. They're able to spend more money with us until they hit that point. of scaled advertisers. So that's why we track it internally. And I think for investors, that's a good proxy for our progress as a technology company, as well as how sustainable is that revenue moving forward. About the agentic AI, which we talked a lot about last week, And I'm personally very excited about it. I think as an industry, we're going through a significant revolution with AI, not only affecting almost everything we see and touch, but now specifically with programmatic protocols. We're spending a lot of time with agencies and big advertisers. And for the last 30 years, they've spent tens of billions of dollars buying programmatic different types of supply. And the challenge with programmatic protocols is that they normalize for the lowest dominator. They can't really take advantage of the unique data different companies have. They can't take advantage of the unique supply companies have. And with agents now, kind of agent-to-agent era we're embarking, you can now, with Taboola, you can go to Cloud and use an MCP, basically a skill that is able to talk within the app or within the CLI, the command line, if that's what you're using, you can talk to Taboola Realize or you can talk to Taboola Realize Plus. Never leave cloud and basically interact in your objectives. The reason this is exciting is you can do the same with Google. You can do the same with Meta. You can do the same with Taboola and even TV, which means for a \$200 subscription with Cloud, you can now buy search, social, open web, and TV. And that is quite big. So it's early days, but I think things will move very fast. And I suspect, you know, a year from now, Laura, you and I do a Fireside Chat and talk about where things stand. I suspect agent-to-agent kind of advertising buying will be a much bigger portion of the industry. Thanks. Thanks.

OPERATOR Operator

Thank you. Our next question comes from the line of Barton Crockett of Rosenblatt. Your line is now open.

BARTON CROCKETT Analyst at Rosenblatt

Okay. Thanks for taking the question. I was curious, you credited Realize with driving some of the upside in the quarter and, you know, in the guidance for the year. And I was just wondering if you could be a little bit more specific about what in Realize was driving the upside. Was that using Realize to, you know, perhaps go beyond some of the traditional bottom of page inventory that you've been trafficking in going into the other parts of the page? Or was it just more general kind of the capabilities to Realize that was driving that would be one question. And the other question is on the guide. You know, you guys are raising, you know, the XTAC gross profit guide, the revenue guide at both the high and low end, but the EBITDA net income guides are less changed? I mean, unchanged on the EBITDA at the low end and unchanged on the non-GAAP net income at the high end. And so why isn't the revenue upside flowing to the bottom line as much?

ADAM SINGOLDA Founder and CEO

Hi, good morning. I can start and thank you for the question. So, you know, on the first one, we realized essentially, you know, we're really seeing utilization of all the various kind of capabilities the platform offers for advertisers being used more, which accelerates advertiser success, which accelerates essentially spend on our platform, and that's why we're able to raise our guidance and feel good about our way towards double-digit growth consistently and organically as a company. And that includes things such as format diversification, which you mentioned. It's much, much easier now to start a campaign with either vertical video or display. On the supply side, we're plugged into much more, I would say, you know, kind of traditional display inventory if that's what advertisers want, vertical formats if that's what advertisers want. On our OEM, we have full screen kind of advertising placements. In-app inventory, which is about, again, over \$100 million a year as well. So we're seeing basically on the supply also further diversification of types of inventory advertisers can get. And then one of our probably leading tech features that advertisers really use is predictive audiences again. So advertisers keep using our ability to predict how many more conversions they can get based on a seed of conversion they already have with us. And to oversimplify this, what that means If

you're a personal finance mortgage company and you were able to get 1,000 leads with Taboola, we're able to predict how much money do you need to give us to get the next 1,000 conversion, which is really comforting for advertisers who are looking for stability and predictability with us. They want to know how much more money do they need to give us so they can further scale their spend and work with us as a platform. And that's something that advertisers really like. And as you've probably seen with Realize+, this will be, I hope, and that's what I expect over time, to see even further kind of acceleration of how advertisers use Taboola. With Realize today, advertisers open sometimes dozens or hundreds of campaigns with Taboola. And they have to manage that manually, which some of them really like to do that, to have that level of control. But with Realize+, Realize Plus may open for advertisers dozens, hundreds, and sometimes thousands of campaigns for you on a daily basis. You know, geo campaigns, different bidding strategies campaign, retargeting, different things. So I hope to see even further automatic utilization of what Realize can do with Realize Plus. But all of those things as a mix are able to increase spend, grow the scaled advertisers, and of course help us accelerate the guidance for the year.

STEVE WALKER Chief Financial Officer

Regarding – hey, Barton, regarding your second question about kind of the flow-through on some of our guidance, I think the biggest factor on why we didn't flow through as much of the beat on adjusted EBITDA and non-GAAP net income as we did on XTAC and revenue has to do with foreign exchange rates, primarily the Israeli shekel, in fact. So the – The Israeli shekel will impact our OPEX by about \$13 million this year. It's a \$13 million headwind. And that, you know, that obviously has a big impact on that adjusted EBITDA. You know, we're happy, though, that even with that headwind, we're still guiding to 30% adjusted EBITDA margins for the year. Without that headwind, our adjusted EBITDA margins would be around 34%. So generally, it's related to exchange rates. Same thing on non-GAAP net income, except it's actually even a bit more extreme because we tend to hedge our cash expenses, but we not 100% hedge, unfortunately, because you can never be perfectly hedged. But we tend to hedge our cash expenses. We don't hedge our non-cash expenses at all. So therefore, higher exchange rates have outsized the impact on non-GAAP net income. So we're We always try and be a bit more conservative there, and the flow through is less because of that.

BARTON CROCKETT Analyst at Rosenblatt

Okay. That's very helpful. Thank you.

OPERATOR Operator

Thank you. Our next question comes from the line of Tyler DiMatteo of BTIG. Your line is now open.

TYLER DIMATTEO Analyst at BTIG

Great morning, guys. Thanks for taking the questions here. Steve, two for you. My first one, on the guidance, how much conservatism is baked into that from a macro perspective, given everything that's going on in the world today? And then maybe how much of a contribution from something like live events? I know in the past, I believe you had said live events is maybe more of a traffic boost than an actual revenue boost per se, but just kind of curious on those two things. And then the second question for you, Steve, has the timeline to double-digit growth, or I guess how has the timeline to double-digit growth changed at this point?

STEVE WALKER Chief Financial Officer

Yep. So good questions. Thanks for asking them. So I think generally speaking, when it comes to the macro, it's been actually pretty impressive that the advertising marketplace, especially our advertising marketplace in the performance space, has been fairly resilient in the face of you know, wars, tariffs, everything that's going on kind of in

the macro, it's continued to be relatively resilient. So I find that pretty impressive. And we continue to say that it's been a fairly stable marketplace. So that's good. When it comes to the events like World Cup and the elections and things like that, I think we've mentioned this in the past, and you're right in your characterization of it, which is that it's more of a traffic event for us than it is a advertiser interest event for us. The reason for that is that those events tend to be more branding oriented. So in elections, it's usually the candidates trying to get their names out there and send branding messages, either branding themselves or anti-branding their opponents. We do get some flow through from that. Usually it's more around like campaign contributions and very specific performance actions that they also want to achieve. But generally speaking, it's much smaller impact on us than it is on, say, a connected TV marketplace or something along those lines. Same thing for World Cup. It's usually companies like Coca-Cola trying to build their brand by tying themselves to those events. So it usually is more of a traffic impact for us with a small amount of flow through on the advertising side. Then to your last question about timeline to double-digit growth, I don't think we feel good. I think Adam mentioned in his prepared remarks that we still feel good that we're on the path to consistent double-digit growth. We still feel like we've seen an inflection in our business and we're continuing to make progress towards that. Obviously, you can see in our guide that we're not there yet, so Adam's not happy yet about where we're at, but we're making progress. I wouldn't say anything has changed on the timeline with anything we've seen recently.

ADAM ANWAR Head of Investor Relations

Great. Thanks, Steve. Really appreciate it.

OPERATOR Operator

Thank you. Our next call comes from the line of Brianna Diaz of Citizens. Your line is now open.

BRIANNA DIAZ Analyst at Citizens

Good morning. This is Brianna on for Matt Condon. Can you just unpack the outperformance in the quarter and what were the contributions of growth from new products such as Realize and Superdive? And if any at all growth is embedded in the full year guide from those products? And then on Realize Plus, it's just doing more of the legwork for an advertiser. Is there anything to know on just the take rate and pricing and how that might compare to a traditional campaign? Thanks so much.

ADAM SINGOLDA Founder and CEO

Hi, good morning. I can start, Steve. Feel free to join. So in terms of the contribution right now, it's primarily driven by our strategy to make advertisers successful and spend more money with us and get more advertisers to work with us. So most of what you're seeing now in the business is directly correlated to us making more advertisers successful and existing advertisers spend more with us, which is exactly kind of tracked through the scaled advertisers you're seeing, 3.5% more, numerically more advertisers. And then you're seeing an increase in average spend per advertisers. So that's primarily realized, which is most of our revenue as a company. Again, one of the things that's unique about Taboola, when you look at our \$2 billion of spend, gross revenue, the vast majority of it is direct to realized. So it's not programmatic. It's not through channels. It's advertisers buying from us, much of their buying from Meta and Google. And to me, that's a very unique part of our business and company. Deeper Dive, which you mentioned, it's growing really fast. I mean, it's quite, we just had a board meeting yesterday and we talked about how much fun it is to kind of be, you know, start a startup within a startup, like Deeper Dive, completely organically, having a small team of really kind of ventures working so hard to bring kind of a chat GPT-like product for the open web. And I would argue even doing things that they can't do, like suggesting questions based on first-party data that we have, and it's been used by incredible partners like you said today, and Nexstar, and Huffington Post, and BuzzFeed, and Inde-

pendent, and Reach, and many, and that list is growing. Financially, that's still small, though I did mention that what we're seeing is unique. When I look at effective CPMs on a Deeper Dive page, or when I look at advertiser conversion rates, the return on ad spend from Deeper Dive compared to anything else, it's at the top. So if Deeper Dive continues to scale, I'm excited about the impact it can make to our publishers, the impact it can make to advertisers, and the impact it can make to us. You may also know that I'm fairly optimistic about Gemini and Google, given what we're seeing at Deeper Dive. I suspect Google is seeing similar kind of trends for Gemini. So that's about that. About Realize Plus, yeah, you're right. It's basically making it dramatically easier for advertisers. By the way, also big advertisers who may have a realized kind of operation, but also want on top of that to have a PMX type line of business with us. So Realize Plus can work very well for huge advertisers, big advertisers, and smaller advertisers. But the idea is that the amount of permutations of realized that our product team has brought to market, it's quite significant. There's a lot of different things you can do more than a team of one or two or three humanly. Possible you know can execute on but realize plus is unlimited it can do everything for you. It doesn't sleep seven days a week. So we're optimistic about where it can go. But of course early days, and we'll continue to update. Thank you. Our next question comes from the line of James Copelman of TD Cowan. Your line is now open and

JAMES COPELMAN Analyst at TD Cowen

Good morning, and thanks for taking the question. The first one's for Adam. Taboola has been a company that's benefited over time from acquisitions and some really large-scale partnerships, obviously Connexity a few years ago, the Yahoo Agreement, Apple News, and other large partnerships. My question is, do you see Taboola's growth story as largely organic going forward, or do you see potential opportunity for additional acquisitions over time or partnerships and new verticals? And what sort of adjacent or additional competencies would Taboola potentially look to add over time as you continue to grow and look to capture greater share of digital advertising? And then I'll have a follow-up for Steve.

ADAM SINGOLDA Founder and CEO

Yeah, that's a great question. So I'll say two parts. One, I think most of our growth will continue to be organic. And at the same time, I'm quite happy to buy, you know, 90% of the company back since last year. So I like that we're not only accelerating growth, not only, you know, I see organic. I keep saying consistent and organic. I use those words because that's how I expect us to continue to grow, organically and consistently, which is something we care about and I think investors should care about. So that's how we see our future. So when I say double-digit growth, I mean organically and consistently. It doesn't mean we're not looking at stuff all the time, but our appetite for a big kind of type of thing is small. And at the same time, like I said, I enjoy reducing the share count as a shareholder myself. I like that we're able to use our free cash flow, which is growing, to put that to work, and we think that's a great investment for us. So that's something we intend to continue to do this year. Now, in terms of, I can tell you... You know, we had yesterday our COO, our chief business officer, Krishan, and I spent some time together, and we were thinking about big growth engines over the next few years. It's kind of divided into three. One is on the business side. There's a lot of sales growth with agencies and advertisers and partnerships. I think there's a lot of companies who want a really good friend, who want to build an advertising business for them. We're obviously so happy with what we've done with Yahoo and Apple and Microsoft over the years, but I think there's going to be more of those, and we're already in conversation now with some really exciting companies, big companies that want a non-Google Facebook friend, and we are the best friend they can have, and they can be the best friends for us. The second thing is on the technology side. You're seeing us investing a lot with Realize and Realize Plus. and more things coming up on the roadmap because we think that Taboola as a technology company can do a lot for ourselves by making advertisers more successful and growing the ARPU or kind of like revenue per publisher or partner over time. And our pipeline on the publisher side has never been stronger. I mean, the meetings we're having, the seniority of people

that take meetings is so great to see. And I think it's driven by deeper dive and strategic things we're doing that they want to see what we're working on. And the third one is just AI in general. Our CEO is leading an internal kind of huge multi-year project starting now, whereby we're constantly imagining Taboola as what we refer to as an AI native company. What would we look like if we started today and constantly looking for innovation and growth and how we can all be more productive internally? and externally. So between those three kind of big waves of growth, I organic and consistently I'm quite excited.

JAMES COPELMAN Analyst at TD Cowen

Great. And then a quick follow up for Steve. I think Tabula has currently a little under 1600 employees. If I understood that right from the 10 Q that's down quite a bit from I think about 2000 employees roughly a year ago. So I assume you're seeing some efficiency gains and We're wondering how much of the efficiency is tied to AI initiatives or other areas within the company. And I guess looking ahead a year or two, what can you tell us about potential headcount trends, maybe areas of hiring as you continue to ramp Realize and how you balance those investment opportunities around Realize Against to focus to remain prudent with regards to cost discipline going forward?

STEVE WALKER Chief Financial Officer

Thanks, James. Yeah, so first of all, just on the numbers side of things, we're actually more like around 1,950 employees right now. So I'm not sure. Maybe that was a subset of our company or something that you were looking at, but we're around 1,950. That's still down from where we were, so we were over 2,000. We did just do a kind of adjustment to our restructuring to our company that impacted that. Frankly, that was a relatively business as usual, an ordinary course of business type of adjustment. So we were just reducing some investment in certain areas that we didn't want to invest in as much anymore. We're still hiring in other areas. That one was not as much about AI, although we are always looking at, as Adam said, areas where we can use AI to become more efficient. I don't want to necessarily predict the future too much because our future headcount growth and everything else is dependent partially on how we grow as a company. But what I would say as I look forward is for sure if I'm asking myself, can we be more efficient with the same number of people, my answer is yes. I mean, ultimately... You know, our R&D group, for instance, is talking about a 10x project where they use AI to 10x the impact of their engineers. Doesn't mean we necessarily see needing less people, but it means we can become way more efficient with the people we have and we can support growth at a more efficient level. So I think the trend line, without getting into specific headcount numbers, I think is towards more efficiency and And I really, we're all very excited about AI and the impact it can have on kind of our cost efficiency and everything going forward.

JAMES COPELMAN Analyst at TD Cowen

Great. Thanks, Locke. I appreciate the color and congratulations again on the quarter.

STEVE WALKER Chief Financial Officer

Thanks, James.

OPERATOR Operator

Thanks. Thank you. Our next question comes from the line of Navid Khan of B. Reilly Securities. Your line is now open.

NAVID KHAN Analyst at B. Riley Securities

Thanks, Locke. Couple of questions for me. So maybe just on Realize, let me just talk about the ads, the spend per advertiser on Realize and how it compares to the legacy native. And are you adding more verticals besides the one you

mentioned in the past, like finance, travel, et cetera? So that's one. And then maybe just talk about the cost related to AI. So as you... Put in more AI features in your products. How should we be thinking about the impact from a cost perspective as the adoption increases for these products?

STEVE WALKER Chief Financial Officer

Sure. I'll jump in and answer this. So on your first question about realize, You know, I think what we're doing, we've talked about in the past that we're focused on three things which we think will impact our growth with Realize. One is we're focusing on ICPs, ideal customer profile verticals. I wouldn't say we're adding more of those at this point. For right now, we're basically trying to focus our organization on making the ones that we've identified successful. So that includes tech efforts to try and make them work. It includes focusing our sales teams to make sure they're going after the right verticals. And the result of that, we believe, will be higher retention and more spend from our advertisers in general, especially within those verticals. The second thing we're doing is we're investing in our brand. So we're trying to reposition ourselves from being a native company to being all performance advertising companies. So that is an ongoing effort. I think we're early in that process, and that's something we're continuing. And then lastly, we're investing in tech, which I think Adam addressed a bit earlier. A lot of good things going on there. We're continuing to see opportunities to build on our product and to continue to develop more capabilities for our advertisers. Realize Plus being a great example of that, where we're making it so much easier to buy with us. We also released a skill in Claude now where you can interact with Realize directly in an agent-to-agent way. So things like that are going to drive growth in the future for us, and that's where we're focused. To your second question, if I understand what you're asking, I think generally speaking, AI is an opportunity for us to do more with less. So it doesn't, and again, I think what that means is that we should become more cost efficient going forward. That includes the cost of the AI itself. Obviously, you know, we have to pay for the AI, but we're also trying to be very smart about that. So for instance, in many cases, we're hosting our own AI. So we bring in the open source AI models. We host it on our own infrastructure, which fortunately we've built the company from the beginning to host our own infrastructure. so we host the AI models on our own infrastructure, what that means is you may not be up with the absolute latest model from whichever model you're using, but it's a lot less expensive to host it yourself. So generally, AI is going to drive cost efficiencies even after the cost of the AI itself.

OPERATOR Operator

Thank you. Thank you. This concludes the question and answer session. I would now like to turn it back to Adam Singolda, CEO, for closing remarks.

ADAM SINGOLDA Founder and CEO

Thanks, everyone, for being with us this morning. Q1 wasn't just about bidding the numbers. It's another step towards building the largest kind of wall garden outside of the walls, helping advertisers drive outcomes on the open web through Realize and now through Realize Plus, while growing our partner request publishers, apps, and OEMs. We're executing on our priorities, raising the guidance with confidence in our path to double-digit growth organically and consistently. I love that we're able to buy 90% of our shares since last year, and we do intend to aggressively keep buying shares this year. We appreciate your support and looking forward to staying in touch this week ahead. Thanks, everyone.

OPERATOR Operator

Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.